

Medicare won't pay for your mother's nursing home. Her house will.

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Going broke in America is rarely loud. It happens in a hospital discharge office, where a social worker explains that [Medicare will cover your mother's rehab for a few weeks, never more than 100 days, and then stop](#). After that, the daily help with bathing, eating and dressing is on you.

More than half of Americans turning 65 in recent years [will need long-term care](#). A private nursing home room costs a median of [\\$129,575 a year](#), and the median household headed by someone over 65 earns [\\$56,680](#). The arithmetic ends only one way.

So the family pays until the money's gone. [One in six residents who enter paying privately spends down to Medicaid](#) in about six months. In most states, Medicaid won't step in until they're down to [\\$2,000 in countable assets](#). After death, federal law [requires the state to recover what Medicaid spent](#) from the estate, and for most families that means the house.

The rich never climb down that ladder. With an elder-law attorney and five years' lead time, you can move your assets into an irrevocable trust, [wait out Medicaid's lookback period](#), and qualify with your wealth intact. The fee runs [around \\$10,000](#), less than a month of care. It's the best deal in the building.

Where does the money go? Medicaid is the primary payer for [63% of nursing home residents](#), and [73% of nursing homes are for-profit](#). Much of it never stays in the building: [nearly three-quarters of homes pay rent and management fees to companies their own owners control](#), and a 2024 study found they [hide at least 63% of their profits](#).

Wall Street has noticed. Real estate investment trusts hold stakes in [one in six nursing homes](#) and paid more than \$7 billion in dividends in 2024. The largest, CareTrust, ran a [67% profit margin](#) last year, and its homes average a half hour less nursing care per resident per day than the national average. In one, in Sacramento, a retired teacher named Pearlene Darby died in 2020 at 81 of infections and bedsores, according to her death certificate. That year, court records show, the home lost money and still paid CareTrust more than \$1 million in rent. The home denied liability and settled. When private equity buys a nursing home, a study of 7 million Medicare patients found, [short-term mortality rises about 10% and billing rises 19%](#), most of it to taxpayers.

It doesn't have to work this way. About [7% of nursing homes are government-owned and 20% are nonprofit](#). In New York, for-profit homes provide [20% fewer nursing hours per resident](#) than government and nonprofit homes, about half the registered-nurse hours, and 20% more bedsores. The Medicaid dollar is the same. Where it goes is not.

Don't blame the aide who turns your mother every two hours. She earns a median of [\\$20.13 an hour](#), and her job turns over at a median rate of [94% a year](#). The people above her are the problem. A landlord collecting rent from a home that's losing money, with Medicaid filling the gap, isn't running a business. He's running a toll booth at the end of someone's life, and the toll is paid twice: by the family, then the taxpayer.

Washington knows. In 2024 it set a minimum staffing standard. The industry's lobby [spent nearly \\$17 million fighting it](#), and in December [it was repealed](#).

Other countries chose differently. Germany and Japan run [mandatory public long-term care insurance](#) that everyone pays into and can use. Congress passed an American version in 2010 and [repealed it in 2013](#) before it enrolled anyone. "Go broke first" is a policy, not a law of nature.

It's a policy young people will pay for. The median first-time homebuyer is now [40](#). The house that might have been a down payment is becoming a landlord's rent check, and the generation covering today's Medicaid bills will face the same \$2,000 rule with less saved.

Congress can act: restore the staffing floor, require any facility taking Medicaid to disclose every related-party payment in plain English, and put public long-term care insurance back on the table. A bill introduced in March would [bar Medicare payments to private-equity-owned homes](#).

I watched this happen to my grandmother. Her savings and everything she owned were drained paying for her care. I run a nonprofit that has taught more than 100,000 young people about money. I can teach them to save. I can't teach them to out-save a system built to take the house.

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